

BOARD MEETING OF THE CBA

MINUTES (10.09.2019)

On the Refinancing Rate

The CBA Board Meeting of September 10, 2019 attended by Governor Arthur Javadyan, Deputy Governors Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Arthur Stepanyan, Armenak Darbinyan and Martin Galstyan

The Board meeting opened with presentation of the Situation Report as of September 10, 2019. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 0.4% deflation in August 2019 as opposed to 0.6% inflation registered in the same month last year. This was determined by a deeper seasonal decline in prices of agricultural products. In particular, relatively profound decreases were reported for prices in items “Vegetable” and “Fruit”, by 8.7% and 2.7%, respectively (combined contribution to inflation: -0.6 pp), in line with prices in items “Dairy products, cheese and egg” and “Fats and oils” having dropped by 0.8% and 0.7%, respectively. As a result, the 12-month inflation declined in August, reaching 0.6% at the end of the month. During the month, ***the 12-month core inflation rate*** behaved steadily, ***remaining at a 1.5% level.***

Addressing the current economic situation, the Board stated that ***economic activity remained strong over the third quarter of 2019*** owing to the growth in services and manufacturing. Domestic demand too remains high thanks to the increase in private consumption, which was driven by the growth of lending to the economy and reduction of savings to a certain extent. At the same time, domestic demand continued to be contained during the third quarter as a result of the implemented fiscal policy.

Developments in the external sector were presented at the Board meeting, with reference to uncertainties increasing amid escalated trade wars which are leading to a significant slowdown in global economic and demand growth rates. This comes also in line with continued weakening of the inflationary environment in world’s commodity markets. In such a circumstance, in view of persistently sluggish demand in the external and domestic sectors, central banks of main trade partner countries to Armenia will continue pursuing a stimulative monetary policy in order to fulfil their inflation targets.

The Board talked about the developments in the domestic financial market, stating that in the third quarter ***short-term market rates***

have shown mostly a stable behavior and fluctuated around the policy rate of the Central Bank.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. As things stand currently, preferring a gradual recovery of inflation and considering the deflationary effects anticipated from external and domestic economies, the Board of the Central Bank ***found it appropriate to increase the monetary stimulus by 0.25 percentage points.*** Given the predictable macroeconomic developments, the Board estimates that expansionary monetary conditions have to be kept over a medium term, in fulfillment of the inflation target. As a result, the expectation is that the inflation will run below the target in the coming months but will later stabilize around it. At the same time, the Board referred to the currently running discussions on the need for some macro-prudential measures to be taken in the near future; taking of the abovementioned measures will be aimed at creating a favorable financial environment for the development of economic potential.

The Board also looked to current inflation risks. These risks, still on a downward path, depend on how the developments in the external environment unfold, and if they materialize, an appropriate monetary policy response of the Central Bank will come along to ensure price stability in the medium term.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Board of the Central Bank of Armenia

RESOLUTION

Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. To reduce the refinancing rate of the Central Bank of the Republic of Armenia by 0.25 pp to 5.5%.

2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:

2.1. Lombard facility rate offered by the Central Bank to be 7.0%.

2.2. Deposit facility rate offered by the Central Bank to be 4.0%.

3. This decision shall take force on the day following the adoption thereof.

Arthur Javadyan,
Governor of the Central Bank

September 10, 2019
c. Yerevan

PRESS RELEASE
10.09.2019

In the September 10, 2019 meeting the Board of the Central Bank of Armenia decided to reduce the refinancing rate by 0.25 pp to 5.5%.

There was 0.4% deflation in August of 2019 as opposed to 0.6% inflation registered in the same period of the previous year, which continued to be largely driven by a deeper seasonal decline in prices of agricultural products. As a result, the 12-month inflation rate further reduced, reaching 0.6% at the end of the month. Unlike headline inflation, core inflation has been relatively stable in recent months, fluctuating around 1.5%.

In the external sector, trends of notable slowdown in economic growth, demand and inflation are observable amid increasing uncertainty over global economic outlook, and these trends are also evident in international commodity markets. Based on the aforementioned, the Board of the Central Bank estimates that it generally anticipates deflationary pressures from the external sector.

The Board states that economic activity in Armenia remained high in the third quarter, which is mainly driven by the growths in services and manufacturing in terms of supply and the growth of private consumption in terms of demand. In the meantime, the fiscal policy is further having a contractionary impact on aggregate demand.

Given the deflationary environment in the external sector and the stance of the fiscal policy, and in view of further preference to a gradual recovery of inflation, the Board of the Central Bank finds it reasonable to add to the monetary stimulus by reducing the refinancing rate, as well as is considering measures for directing financial resources to the development of the economy's potential. The Board also finds that in view of anticipated macroeconomic developments, keeping the policy expansionary in the near future will be needed in order to fulfil the mid-term inflation target. As a result, the expectation is that the inflation will run below the target in the coming months but will stabilize around the target in the medium run.

At present, downside risks to inflation deviating from the projection path are prevailing and mainly depend on the developments in the external sector. In the event such risks emerge, the Central Bank will respond adequately while maintaining price stability in the medium run.

Press Service of the Central Bank of Armenia